



THE REAL DATA CENTER MONEY MAP

Where the **hundreds of billions** in AI infrastructure spending actually flows – and who captures the value in 2026 and beyond.

INVESTOR INTELLIGENCE

DATA CENTER & AI INFRASTRUCTURE

SETTING THE STAGE

CONTEXT YOU CANNOT IGNORE

SPENDING EXPLOSION

AI and data center capex is surging into the hundreds of billions – and it's accelerating, not plateauing.

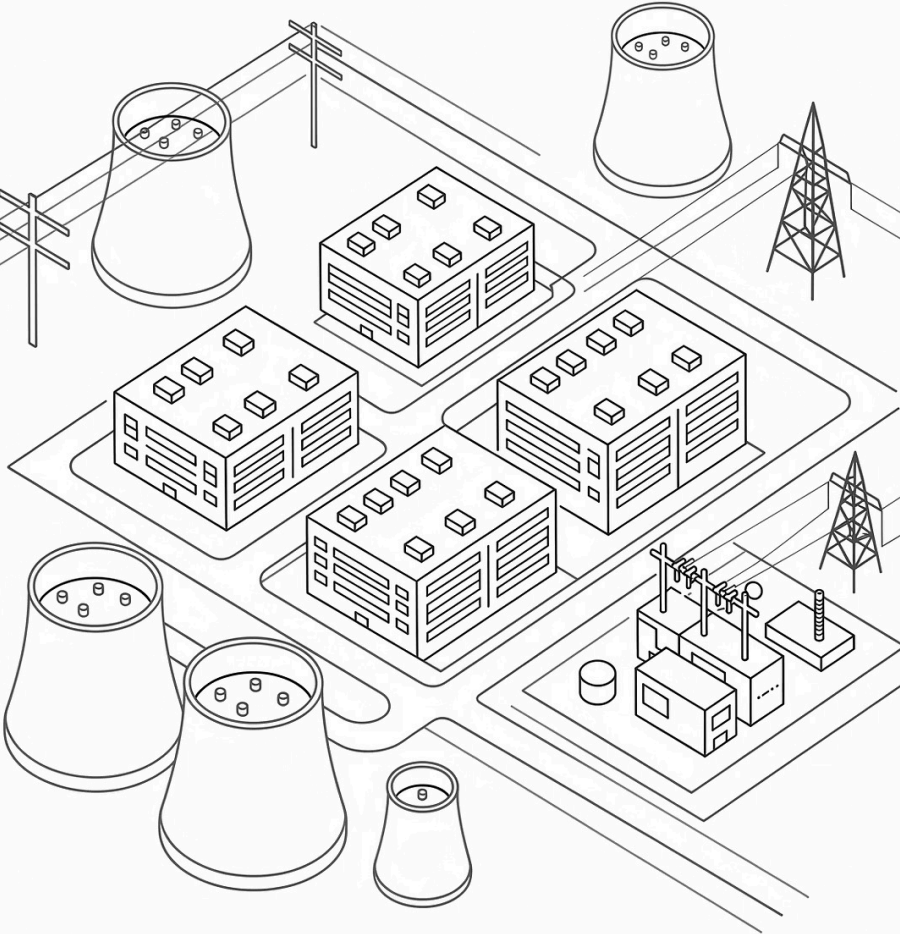
STRUCTURAL SHIFT

Cooling is migrating from air to liquid. This is not a trend – it's a permanent architectural change.

SOME PLAYS ALREADY RAN

Stocks like Vertiv have moved hard. The opportunity is now in knowing what's early versus what's crowded.

 **Key framing:** Some plays are still early. Others are already priced for perfection. The edge is in knowing the difference.



THE SUPPLY CHAIN FLOW

AI infrastructure isn't one trade – it's a layered system. Money flows from cloud demand all the way down to raw components.

DATA CENTER BUILDERS
Develop and operate physical facilities

INFRASTRUCTURE & COMPONENTS

Power, cooling, suppliers, and raw materials

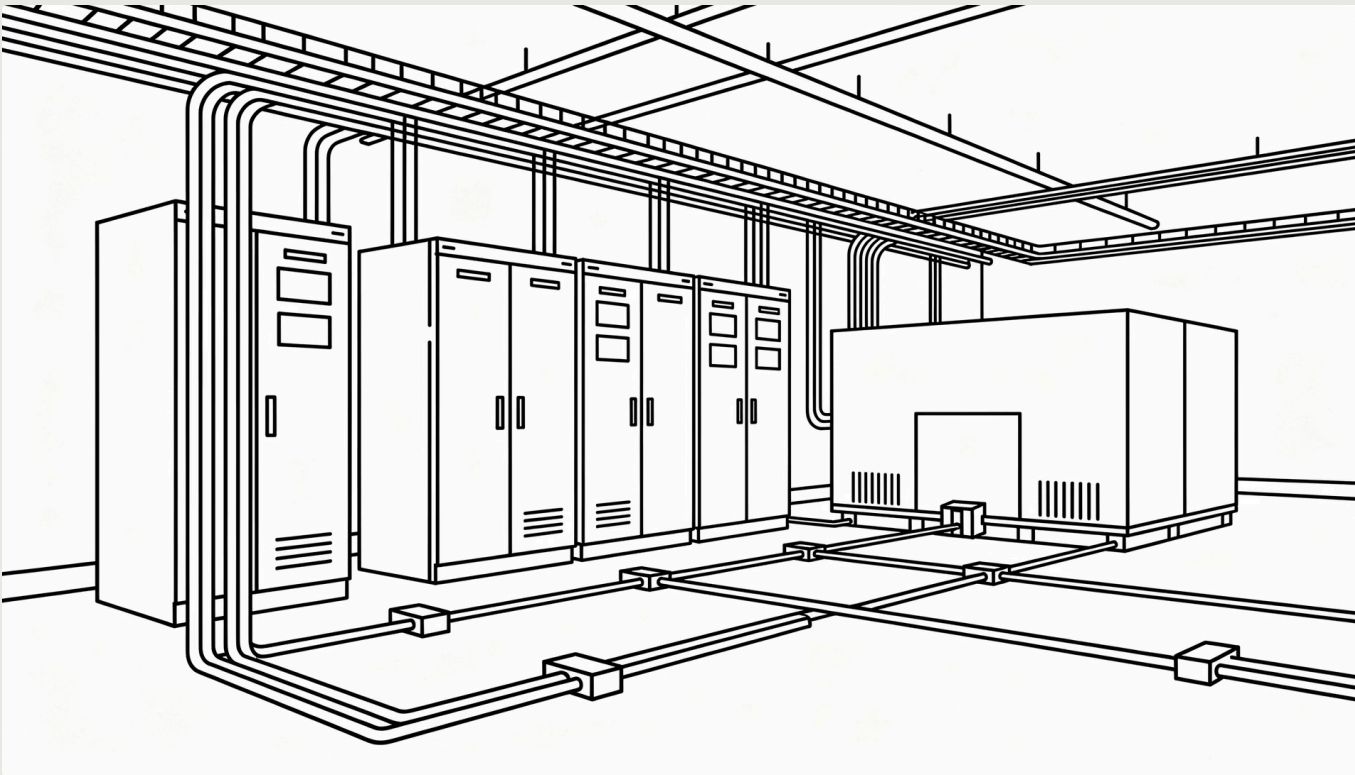
CORE DEMAND

Cloud providers drive investment and throughput

Each layer is a distinct investment opportunity – with different risk profiles, valuations, and revenue predictability.

ZONE 1 – BEST RISK/REWARD

● PICKS & SHOVELS: INFRASTRUCTURE TOLL BOOTHS



Every data center – regardless of who builds it – must purchase from this tier. That's the structural advantage.

VERTIV HOLDINGS (VRT)

Cooling + power systems. The category leader in liquid cooling infrastructure.

EATON (ETN)

Electrical infrastructure + expanding aggressively into cooling systems.

NVENT ELECTRIC (NVT)

Emerging cooling + enclosure specialist. Backlog is exploding.

ZONE 2 – UNDERAPPRECIATED

POWER IS THE REAL BOTTLENECK

Everyone debates AI chips. Few are focused on the actual constraint: **electricity delivery**. AI clusters consume power equivalent to small cities – and upgrades are mandatory, not optional.



EATON (ETN)

Quietly dominating UPS systems, transformers, and switchgear for data centers globally.



ABB LTD

Global grid automation and power management. Embedded across international infrastructure builds.



SCHNEIDER ELECTRIC

End-to-end energy management and critical power solutions. A core vendor to hyperscalers worldwide.

❏ Cooling is hot. But **power is the choke point**. This is like investing in the electrical grid during the internet boom.

ZONE 3 – PROCEED WITH CAUTION

● ALREADY CROWDED: THE KINGS, NOT THE FASTEST HORSES

These are exceptional companies – but they're **priced for perfection**.

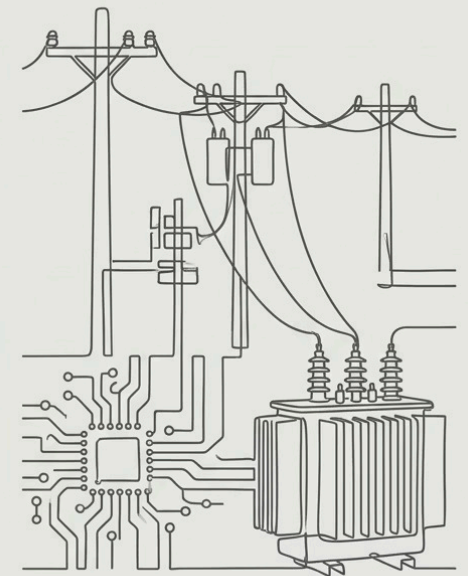
The upside percentage at the infrastructure layer is simply more compelling for new capital today.

- **NVIDIA** – dominant GPU supplier, but multiples reflect it
- **Microsoft** – hyperscaler, already massive position
- **Amazon** – AWS leader, less % upside vs. infra layer

These drove the hype. They're not wrong. They're just not where the *next* asymmetric return lives.



CROWDED/PRICED-IN TIER (NVIDIA, Microsoft, Amazon):
High Valuation, Low remaining Upside.



INFRASTRUCTURE TIER (Vertiv, Eaton, nVent):
Moderate Valuation, High remaining Upside.

ZONE 4 – STABLE CASH

THE REAL ESTATE LAYER: STEADY INCOME

EQUINIX (EQIX)

The world's largest data center REIT. Leases colocation space globally. Strong dividend profile with recurring revenue.

DIGITAL REALTY (DLR)

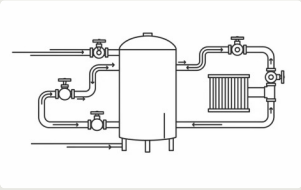
Wholesale data center landlord. Long-term leases to hyperscalers. Lower growth, but stable and predictable.

Think of these as **toll roads** — slower growth, but every data center tenant pays rent. Ideal for income-oriented exposure to the AI build-out.



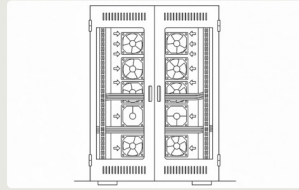
ZONE 5 – HIGHEST UPSIDE

● HIDDEN EMERGING PLAYS: STILL EARLY INNINGS



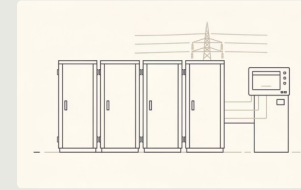
ECOLAB (ECL)

Just acquired a liquid cooling company. A major industrial player moving deliberately into the cooling ecosystem – fluids, maintenance, and services.



NVENT ELECTRIC (NVT)

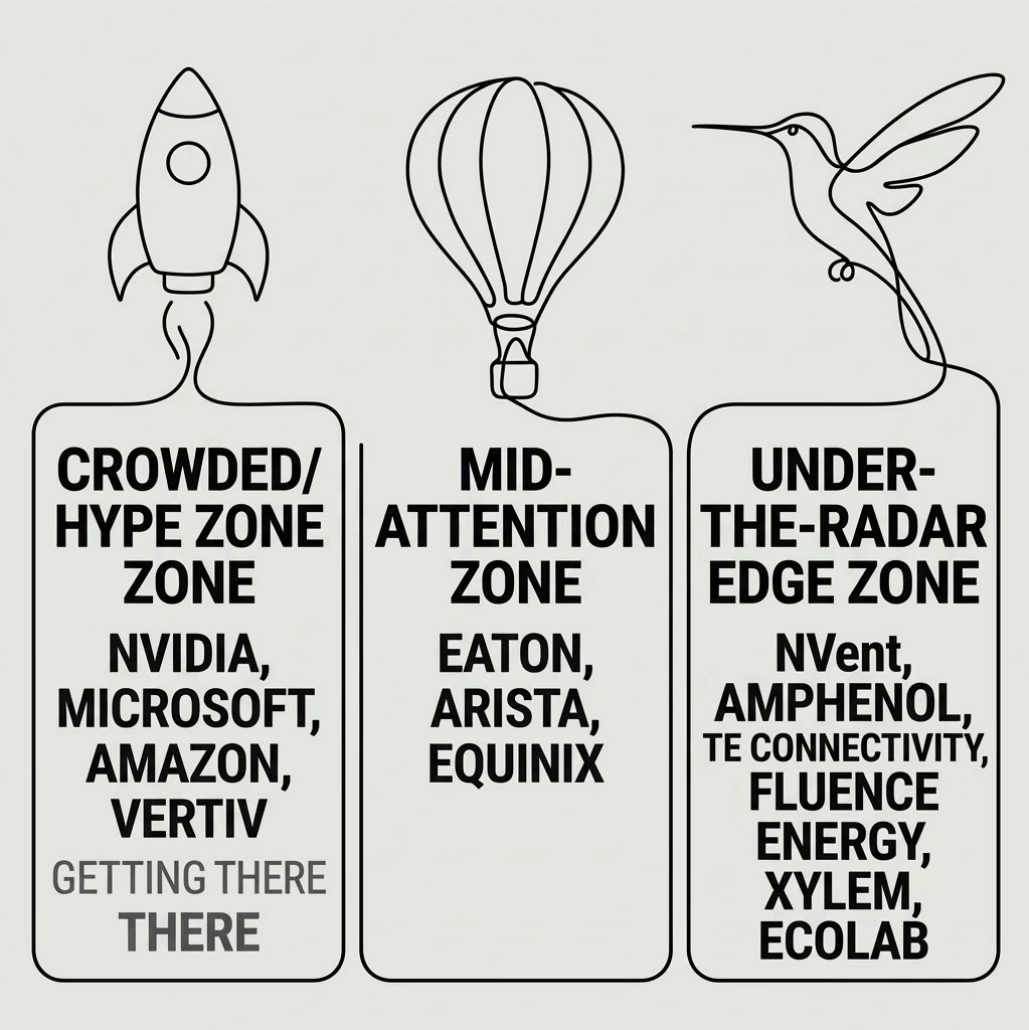
Backlog exploding. Enclosures, thermal systems, and cooling expansion. Growing fast as data centers scale up rack density.



FLUENCE ENERGY (FLNC)

Grid-scale battery storage for data centers. AI creates unstable power demand spikes – batteries stabilize and optimize costs.

 WHAT THE MARKET ISN'T PRICING YET



THE KEY INSIGHT

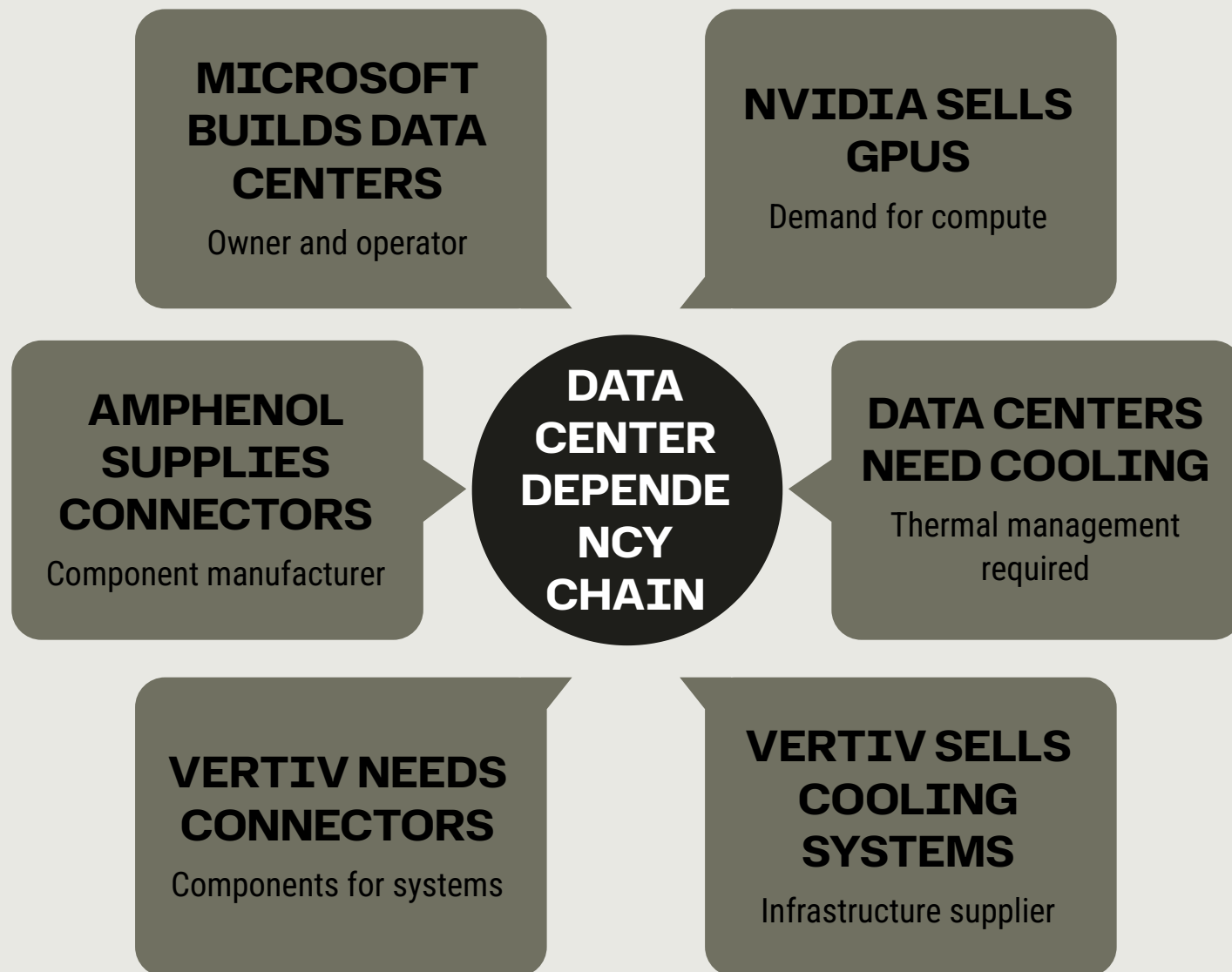
The market is pricing "AI is big." It is **not** fully pricing what AI forces the physical world to build.

- **Amphenol (APH)** – connectors in every server, massive margins
- **TE Connectivity (TEL)** – sensors and connectivity at scale
- **Xylem (XYL)** – water systems for heat reuse (very early signal)

Every AI server requires thousands of small components. **Sell the screws during a skyscraper boom.**

DEPENDENCY MAP

WHO BUYS FROM WHOM



Owning positions across the chain – demand, cooling, power, and components – means you own the **entire system**, not just one headline trade.



THE SMART BASKET

A BALANCED SYSTEM BET



GROWTH CORE

VRT – cooling leader

ETN – power + cooling expansion



UNDERESTIMATED BACKBONE

ABB or **Schneider** – global infrastructure embedded in every major build



ASYMMETRIC UPSIDE

NVT – fast growth, rising backlog

ECL – new entrant via acquisition



STABILITY ANCHOR

EQIX or **DLR** – dividend income, recession-resilient leases

KEY RISK FACTORS



REAL RISKS – NOT GENERIC ONES

1

OVERBUILD RISK

Too many data centers built too fast → temporary demand slowdown and pricing pressure.

2

CHIP EFFICIENCY GAINS

More efficient AI chips reduce thermal output – directly compressing cooling demand growth.

3

VERTICAL INTEGRATION

Amazon and Google are building proprietary cooling in-house – a structural threat to independent vendors.

4

VALUATION RISK

Several infrastructure names are now priced for significant growth. Any miss could compress multiples sharply.

THE RECURRING REVENUE QUESTION

Is this revenue actually sticky?

- ☐ **Yes.** Cooling systems are installed upfront, then *maintained, upgraded, and replaced* on multi-year cycles. Vertiv generates meaningful recurring revenue from services and maintenance contracts alone.

This is not a one-time hardware sale. It's an infrastructure relationship.



THE FINAL EDGE

The real bet isn't "Will AI grow?" – that's obvious.

The real bet is: **"Where does the money HAVE to be spent, no matter what?"**

POWER ✓

Non-negotiable. Can't run AI without it.



COOLING ✓

Liquid cooling is now mandatory architecture.

INFRASTRUCTURE ✓

Components, enclosures, connectors – invisible, essential, scalable.

Less hype. More necessity. More predictable revenue. **That's the edge.**